www.tntextbooks.in

2. Non – existence of common measure of value

Barter system could not determine the value of commodities to be exchanged as they lacked commonly acceptable measures to evaluate each and every commodity. It was difficult to compare the values of all articles in the absence of an acceptable medium of exchange.

3. Lack of direct contact between producer and consumers

It was not possible for buyers and sellers to meet face to face in many contexts for exchanging the commodities for commodities. This hindered the process of barter in all practical sense.

4. Lack of surplus stock

Absence of surplus stock was one of the impediments in barter system. If the buyers and sellers do not have surplus then no barter was possible.

Invention of Money

All the aforesaid constraints were addressed by the invention of money as medium of exchange. Besides there are other hindrances in the smooth exchange of goods from the place of production to the place of consumption like place, time, risk, knowledge, finance and so on. These are addressed by various mechanisms in detail in the subsequent sections of this chapter.

1.03 Hindrances of Commerce

Production of goods and services for the satisfaction of human wants is the main objective of an industry. Reaching those goods and services to the people for where these are produced is the object of commerce. Commerce serves as a valuable link between the producer and the consumer. It renders a variety of services to ensure that the passage of goods and services between the two, is completed without any let or hindrance. Accordingly, commerce may be defined as "the organized system for the exchange of goods and services between members of industrial world." It comprises all forms of trade, wholesale, retail, import, export and entrepreneurial services which aid and assist the trading activities such as banking, transport, warehousing, insurance, and advertising.

1.04 Elimination of Hindrances of Business

Business consists of all industries and commerce. It serves to remove several hindrances and solve many problems while facilitating the production and distribution of goods. The various hindrances removed by business are as follows

1. Hindrance of person

Manufacturers do not know the place and face of the consumers. It is the retailer who knows the taste, preference and location of the consumers. The chain of middlemen consisting of wholesalers, agents and retailers establish the link between the producers and consumers.

2. Hindrance of place

Production takes place in one centre and consumers are spread throughout the country and world. Rail, air, sea and land transports bring the products to the place of consumer.

3. Hindrance of time

Consumers want products whenever they have money, time and willingness to buy. Goods are produced in anticipation of such